

Conviction Grows While Nothing Happens

Markets are shut until Monday, and the risk this weekend is not the tape but what forty hours of thinking does to a view.

THE READING

Nothing has traded since Friday's close and nothing will until Monday. What stands is this. Kevin Warsh's first Jackson Hole address moved September hike odds to roughly 57 per cent from about 35 the day before, and the two-year yield rose about 6.6 basis points to 4.29 per cent, a one-month high, while the long end fell.

The VIX closed at 14.43, around a third of a point above the floor of the 14.07–16.37 band Hedgeye published on Thursday. Gold gave up more than three per cent intraday. The S&P sits near 7,731 after a Thursday gain in which ten of eleven sectors fell. Hedgeye does not publish at weekends, so even the bands on the desk are Thursday's. There is no new information anywhere in the file.

WHAT WISDOM WOULD SAY

Aristotle, in the sixth book of the Nicomachean Ethics, separates practical wisdom — *phronesis* — from scientific knowledge. Scientific knowledge concerns what is universal. Practical wisdom concerns particulars, and particulars are known through experience rather than deduced. A person can hold the general principle perfectly and still act badly, because the principle does not tell him which case he is in.

A shut weekend supplies universals and no particulars. Every general proposition available this morning was available on Friday: that the front end has repriced, that equity volatility has not, that breadth has been poor. Rehearsing them is not analysis, because nothing in the rehearsal can be checked against anything. What rehearsal reliably produces is confidence, since reasons accumulate on their own while evidence does not. By Monday the view feels earned. It is the same view, held longer.

THE RISK IT JUSTIFIES

Do not let two quiet days upgrade a position. If the size was right on Friday it is right on Monday, because nothing has arrived that bears on it. The work actually available is the kind that needs no tape: fix the level and the rule before the open, so that Monday's particular meets a decision made while nothing was moving.

Three candidates, each already a number rather than a feeling. A VIX close above 16.37. An HYG close under 79.53. September hike odds back under 40 per cent. None of them exists yet, and a weekend cannot manufacture one. What would change the answer is a weekend headline — Hormuz, tariffs, an unscheduled official comment — which is genuine new information and deserves to be treated as such, not folded quietly into Friday's view.

Is the view stronger this morning, or only older?